original odious debt mechanisms, but it would not eliminate them by any means.

Another variant is to single out past debt that was used for nefarious purposes such as repression or theft and declare only that odious and uncollectible (see for example, 'Iraq's Odious Debts' by Patricia Adams, *Policy Analysis*, 28 September 2004, Cato Institute). Such a mechanism would make lenders responsible for the end use of their funds. But this suggestion is also not without problems. For one, it is hard to know whether steel that is being imported will be used to make cradles or cannons. Even guns and bullets may have legitimate uses if the police use them to combat crime. If lenders were held responsible for end use, they would shy away from financing a large number of legitimate activities. Moreover, this proposal assumes that money is not fungible. What is to prevent the government from funding roads and ports with foreign loans while using taxpayer funds to buy tanks and submarines?

If there are potential costs to such proposals, then a re-examination of the benefits becomes important. Would dictators really be stopped in their tracks? Would the truly corrupt not simply sell the country's existing assets at bargain basement prices for cash? Would we not see an increase in trafficking in antiques, endangered animals, wood, and drugs? Is it possible that the country could be worse off if the dictator stole through unusual channels than if he stole by building up debt?

The point is that while the odious debt proposal is well motivated, it is unlikely to provide a panacea. We have to recognize there will be trade-offs – the upfront costs to any fragile democracy from the odour of possible future odium, weighed against the possible benefits of curbing corrupt dictators financed by overeager bankers. If there are many odious regimes today but little chance that currently democratic regimes will switch to being odious, the benefits of the proposal